

Auditing

Short Questions

Past paper 2022...

Question 02..

Embezzlement :

- Embezzlement is a white-collar crime where employees withhold or misappropriate funds or assets assigned to them. An embezzler intentionally and unethically uses owners' funds for personal gain. They falsify receipts and invoices to cover their tracks.

OR

- Embezzlement refers to a form of white-collar crime in which a person or entity intentionally misappropriates the assets entrusted to them. In this type of fraud, the embezzler attains the assets lawfully and has the right to possess them, but the assets are then used for unintended purposes.

Example ::

Example of embezzlement:

An employee of a company who is responsible for managing the company's finances diverts a portion of the company's funds into their personal bank account. They create false invoices and receipts to make it appear as if the money was used for legitimate business expenses. However, they are actually using the funds for personal expenses such as luxury vacations and shopping sprees. This is an example of embezzlement.

Past paper 2019...

Question 09

What is difference between theft and pilferage?

The primary difference between theft and pilferage lies in the nature and scale of the act. Here's a breakdown of the differences:

Theft:

- Theft refers to the act of taking another person's property without their permission or consent, with the intention to deprive the rightful owner of it .
- It is a broader term that encompasses various crimes against property, such as burglary, embezzlement, larceny, looting, robbery, shoplifting, library theft, or fraud.
- It involves the unlawful taking of property, regardless of its value or quantity .
- Theft can range from stealing small items to large-scale robberies.

Pilferage:

- Pilferage, on the other hand, specifically refers to the recurrent theft of small items of little value.
- It typically involves the theft of part of the contents of a package or the stealing of small amounts or small articles.
- Pilferage often occurs in small quantities and is characterized by the theft of low-value items.
- It is commonly associated with stealing items of little significance or worth .

In summary, theft is a broader term that encompasses various crimes involving the unlawful taking of property, while pilferage specifically refers to the recurrent theft of small items of little value.

Question 10...

What are test of controls.?

A test of control describes any auditing procedure used to evaluate a company's internal controls. The aim of tests of control in auditing is to determine whether these internal controls are sufficient to detect or prevent risks of material misstatements.

- Tests of controls in auditing are procedures used to evaluate the effectiveness of a company's internal controls.
- These tests are performed to determine whether the internal controls are designed and operating effectively to detect or prevent risks of material misstatements in the financial statements.
- The objective of conducting tests of controls is to provide assurance to the auditor about the reliability of the company's internal controls.

Past paper 2018...

Question 09..

What is difference between internal and external audit?

Internal Audit :

Internal audit refers to the department located within a business that monitors the efficacy of its processes and controls. The internal audit function is especially necessary in larger organizations with high levels of process complexity, where it is easier for process failures and control breaches to occur.

External Audit:

An external audit is an examination that is conducted by an independent accountant. This type of audit is most commonly intended to result in a certification of the financial statements of an entity. This certification is required by certain investors and lenders, and for all publicly-held businesses.

Key Differences Between Internal Audit and External Audit

The following are the major differences between internal audit and external audit:

- Internal Audit is a constant audit activity performed by the internal audit department of the organisation. External Audit is an examination and evaluation by an independent body, of the annual accounts of an entity to give an opinion thereon.
- Internal Audit is discretionary, but the External audit is compulsory.
- Internal Audit Report is submitted to the management. However, the External Audit Report is handed over to the stakeholders like shareholders, debenture holders, creditors, suppliers, government, etc.
- Internal Audit is a continuous process while the External Audit is conducted on a yearly basis.
- The purpose of Internal Audit is reviewing the routine activities of the business and give suggestions for improvement. Conversely, External Audit aims at analysing and verifying the accuracy and reliability of the financial statement.
- Internal Audit provides an opinion on the effectiveness of operational activities of the organisation. On the other hand, External Audit gives an opinion of the true and fair view of the financial statement.
- The scope of internal audit is decided by Those Charged With Governance (TCWG). As opposed to external audit, whose scope is determined by law.
- Internal Auditors are the employees of the organisation as they are appointed by the management itself, whereas External Auditors are not the employees, they are appointed by the members of the company.

Question 10...

What is a BIN CARD ?

- Bin cards, sometimes called inventory or stock cards, are record-keeping documents used in retail and other businesses requiring stock room. They always maintain an accurate count of a company's available stock.
- A table with general stock item information is typically included on bin cards. This table may include the item name, brand name, quantity, and identification code. The bin card contains several other categories, the specifics of which change according to the requirements of the stock room.
- These categories may include receipt information, the date of order, the date received, stock item notes (such as problems with an item), storage conditions, and movement.

Past paper 2017... .

Question 5...

What is imprest system?

The Imprest system is an accounting system that's used to track how your business is spending cash. In most cases, Imprest systems are used to account for petty cash (a small amount of money used for expenditure on smaller items, i.e. office supplies, catered lunch, cards for customers, etc.). The key feature of the Imprest system is the fact that all expenditures must be documented. This gives you a greater degree of control over cash disbursements made by your company.

Question 6:

Define CIS environment?

A CIS (Computer Information Systems) environment refers to a situation where one or more computers, regardless of their size or type, are involved in processing financial information of significance to an audit. This can include quantitative data and other financial records. The computers may be operated by the organization itself or by a third party.

In a CIS environment, the use of computers has revolutionized the way organizations store, process, and communicate financial information. This has implications for auditing practices and requires auditors to have adequate knowledge of computer-based accounting systems